

Nifty100 Financial Intelligence Platform

Company Information

Company : REC Ltd

Recommendation : Avoid

Quality Score : 5.42

Financial Metrics

ROE: 20.4

Revenue CAGR: 13.34

PAT CAGR: 19.76

EPS CAGR: 19.67

Free Cash Flow: -59554.0

Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- EPS growing above 15% CAGR indicates strong earnings quality

Cons

- Debt-to-equity ratio of 6.42 is elevated.
- Negative free cash flow raises concern about cash generation quality

Cash Flow Intelligence

CFO Quality: Accrual Risk

Capital Allocation: Distress Signal

Capital Allocation Grade

Allocation Style: Balanced

Grade: F

